

online and you had to physically go to the bank to perform any transactions or to even get your passbook updated.

As I was about to leave for the bank, my father gave me the PPF pass book of my eldest brother so that I could have it updated too. I went to the bank and got both the pass books updated. While driving, I just glanced through both the passbooks. I was astounded to see that my brother was earning "lacs" of rupees as "annual interest" on the money he was holding in the bank, and that these lacs of rupees of interest would further pay him multiples of lacs next year because they would be added to the principle amount next year and he would earn interest on the interest as it keeps compounding. (We will talk more about the power of compounding in the later sections of the book.)

This seemingly small incident made a deep impact on me and my way of thinking about these traditional investment methodologies. Many questions crossed my mind at that moment:

How can people earn lacs of rupees in interest when I am struggling to deposit ₹50,000 in the account every year?

- Are they earning so much more than what I am earning?
- Am I missing something in this concept of wealth generation?
- Was there something I didn't know, and if so what was it?

Sooner rather than later, I realized the power of compounding and the role that it plays in wealth generation and financial freedom. Now, when I see my EPF and PPF statements every year and see the interest earned in that year, I actually feel powerful. You have to experience it to realize how big this can get.

As I said earlier, just these retirement benefits alone are enough to make you a millionaire. They are a very important part of your portfolio. You just have to be disciplined, patient and committed to unleash the immense potential from these traditional retiral investment options.

Let us now move to relatively lesser known investment vehicles. These are some very important investment tools, some of which you will definitely need to make sure you stay ahead of inflation.